

Playbook: Intellectual Property Ownership

NORTHWIND SYSTEMS INTERNAL NEGOTIATION PLAYBOOK

SECTION 12: INTELLECTUAL PROPERTY OWNERSHIP

12.1 Standard Operating Principles This section governs all outbound SaaS agreements, pilot agreements, and professional services statements of work (SOWs) entered into by Northwind Systems. No sales executive, account manager, or product director has authority to alter the positions set forth herein without formal escalation under Subsection 12.5.

12.2 Preferred Position (Model Clause Language) Sales teams must use the following clause as the opening position in all customer negotiations.

> Section 12.2 (Preferred): Intellectual Property Rights.

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> (a) Northwind IP. Customer acknowledges and agrees that Northwind Systems (or its licensors) retains all right, title, and interest in and to the Platform, the Documentation, and all Pre-Existing Intellectual Property, including all modifications, enhancements, improvements, and derivative works thereof. Nothing in this Agreement grants Customer any right, title, or interest in or to the Northwind IP, except for the limited access and use rights expressly granted herein.

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> (b) Customer IP. Customer retains all right, title, and interest in and to all Customer Data and Customer Pre-Existing Intellectual Property. Customer grants Northwind a worldwide, non-exclusive, royalty-free, fully paid-up license to host, copy, process, and use Customer Data solely as necessary to provide, maintain, and support the Platform and Services during the Term.

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> (c) Feedback. If Customer or its Authorized Users provide any suggestions, enhancement requests, recommendations, or other feedback regarding the Platform ("Feedback"), Customer hereby grants Northwind a perpetual, irrevocable, royalty-free, fully paid-up, worldwide license to use, reproduce, modify, and commercialize such Feedback without restriction or attribution.

12.3 Fallback Position If the counterparty rejects the Preferred Position, the legal team is authorized to deploy the following Fallback Position, subject to the numeric thresholds in Subsection 12.4.

> Section 12.3 (Fallback): Intellectual Property Rights.

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> (a) Northwind IP. Northwind shall retain sole and exclusive ownership of the Platform, Documentation, and all modifications, updates, and derivative works created by or for Northwind, regardless of whether such works incorporate Customer Feedback.

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> (b) Customer IP and Work Product. Subject to Northwind's underlying ownership of the Platform and Pre-Existing IP, all custom code, scripts, configurations, and deliverables specifically developed by Northwind for Customer pursuant to a paid Professional Services SOW ("Custom Deliverables") shall be owned by Customer upon receipt of full payment of all applicable fees. Northwind hereby grants Customer a non-exclusive, perpetual, irrevocable, worldwide license to use such Custom Deliverables solely in connection with Customer's authorized use of the Platform. Northwind retains the right to use any general knowledge, skills, experience, and residual know-how resulting from the provision of Professional Services.

12.4 Walk-Away Position & Mandatory Thresholds Northwind legal counsel must immediately terminate negotiations or refuse contract execution if the counterparty insists on any of the following terms, or if the transaction violates these strict operational metrics:

1. Custom Deliverable IP Assignment without Fee Floor: Customer demands ownership of Custom Deliverables or derivative works where the Professional Services fees for the applicable SOW are less than \$50,000.
2. Platform IP Assignment: Customer demands assignment of any right, title, or interest in the core Northwind Platform, underlying database structures, or pre-existing SaaS architecture, regardless of contract value.
3. Exclusivity or Non-Compete Demands: Customer demands an industry-specific exclusivity clause restricting Northwind from providing identical or similar SaaS functionality to competitors, where such restriction lasts longer than 180 days post-termination, or where the annual recurring revenue (ARR) of the contract is less than \$250,000.
4. Indemnification Exposure Cap: Customer demands an uncapped intellectual property indemnification obligation from Northwind, or a liability cap exceeding 3.0x the total fees paid by Customer to Northwind in the preceding 12-month period.
5. Cure Period Breach Thresholds: Customer insists on a cure period of fewer than 30 days to remedy any alleged IP infringement or ownership defect notified in writing by Customer.

12.5 Named Deviations and Escalation Matrix Any deviation from Subsections 12.2 and 12.3 that crosses the thresholds in 12.4 requires written sign-off from the named internal authority before contract execution.

* Deviation Type A: Customer requests joint ownership (co-ownership) of Custom Deliverables or joint patent filings arising from platform usage.

* *Escalation Target:* Chief Technology Officer (CTO), Marcus Vance.

* Deviation Type B: Customer demands an unlimited, royalty-free source code escrow provision or an immediate release condition triggered by Northwind corporate restructuring.

* *Escalation Target:* Chief Financial Officer (CFO), Elena Rostova.

* Deviation Type C: Customer insists on a custom IP indemnification cap exceeding standard policy (e.g., agreeing to a liability cap between 3.0x and 5.0x annual fees, or a monetary floor below standard thresholds).

* *Escalation Target:* General Counsel, Arthur Pendelton.

12.6 Worked Examples of Counterparty Language

1. Acceptable Counterparty Language (Passes Review) > *Example A.1:*

"Customer acknowledges that Northwind shall own all right, title, and interest in and to the SaaS service, and Customer shall own all right, title, and interest in and to the raw data imported into the SaaS service by Customer users." > *Why Acceptable:* Perfectly aligns with the separation of Northwind SaaS IP and Customer Data under Preferred Position 12.2.

> *Example A.2:*

"Upon full payment by Customer of all fees due under SOW #4, Northwind assigns to Customer all copyright in the specific report templates generated exclusively for Customer under such SOW, provided that Northwind retains all underlying tools and methodologies used to create them."

> *Why Acceptable:*

Matches the Fallback Position 12.3(b), tying custom deliverable assignment to full payment while carving out Northwind's pre-existing underlying technology.

2. Unacceptable Counterparty Language (Fails Review / Triggers Walk-Away) >

Example U.1: "All software, code, algorithms, and documentation created, conceived, or developed by Northwind during the term of this Agreement, whether independently or jointly with Customer, shall be deemed 'work made for hire' and shall be the sole and exclusive property of Customer." > *Why Unacceptable:*

Violates Walk-Away Threshold 12.4(2) by attempting to seize ownership of the core Northwind Platform and joint developments.

> *Example U.2:*

"Northwind warrants that the Platform does not infringe any third-party intellectual property rights and agrees to indemnify Customer without limitation, cap, or restriction for any losses arising from an alleged breach thereof."

> *Why Unacceptable:*

Violates Walk-Away Threshold 12.4(4) by demanding an uncapped IP indemnification liability structure.